# External Influences on Business

Knowledge Organiser · GCSE + A-Level Business · print-friendly A4

| THE SIX EXTERNAL INFLUENCES – AT A GLANCE | | |
|---|---|---|
| **Economic climate** | Interest rates, inflation, employment and consumer spending. Changes how much customers can spend and how much borrowing costs. | Rate rises hit big-ticket sellers (cars, sofas) before everyday low-price sellers. |
| **Legislation** | Laws businesses must follow: employment, consumer protection, health & safety, data protection, competition law. | National Living Wage £12.71/hour (from April 2026) raises staffing costs in labour-intensive sectors. |
| **Technology** | E-commerce, automation, digital marketing, payment systems – plus the new risks that come with them. | M&S cyber attack 2025: online orders suspended for 46 days, estimated ~£300m operating-profit hit. |
| **Competitive environment** | How many rivals there are, how big they are, and whether they compete on price or on other things. | Aldi holds ~10.2% of UK grocery spend (Kantar, Jan 2026) with a range of only ~1,800 lines. |
| **Globalisation** | Selling to, buying from and competing with the whole world – not just the home market. | Gymshark (founded Birmingham, 2012) sells to ~230 countries, mostly online. |
| **Ethics & environment** | Doing what is right for workers, suppliers, communities and the planet – sometimes at a cost to short-term profit. | Divine Chocolate is part-owned by the cocoa farmers who supply it. |

| WHERE THIS SITS IN YOUR SPEC | |
|---|---|
| **GCSE** | AQA 8132 §3.2 Influences on business (3.2.1 technology, 3.2.2 ethical & environmental, 3.2.3 economic climate, 3.2.4 globalisation, 3.2.5 legislation, 3.2.6 competitive environment) · Edexcel 1BS0 §1.5 Understanding external influences · Cambridge IGCSE 0450 external influences topics |
| **A-Level** | AQA 7132 §3.7.4-3.7.7 (political/legal, economic, social/technological and competitive environment) · Edexcel 9BS0 Theme 2 §2.5 External influences (2.5.1 economic, 2.5.2 legislation, 2.5.3 competitive environment) |
| **How to use** | Print one per student as a topic reference; use the quiz on page 5 as a do-now or exit ticket; the detail cards on pages 2-4 give one real example per influence for written answers. |

One idea runs through this whole topic: **external influences are outside the business's control – but the response is not.** Exam answers score for the response, not the event.

# Economic climate + Legislation

External Influences on Business · detail cards 1-2

## 1 · THE ECONOMIC CLIMATE

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|---|---|
| **What it covers** | Interest rates (the cost of borrowing and the reward for saving), inflation (rising prices), employment levels, and how confident consumers feel about spending. |
| **When interest rates rise** | Borrowing costs more → businesses delay investment in new shops, machinery or expansion. Households with mortgages have less to spend → demand falls. The effect is uneven: everyday low-price purchases barely move, while big-ticket items (cars, sofas, kitchens) are often postponed first. |
| **When inflation rises** | A business's own costs (ingredients, energy, wages) climb. It must choose: pass the increase to customers and risk losing sales, or absorb it and accept a thinner profit margin. Which option is right depends on how price-sensitive its customers are. |
| **Exam angle** | The economic climate never affects all businesses equally. Top answers pick out **which** business is hit hardest and explain **why** – a discount grocer can gain customers in a downturn while a luxury brand loses them. |

## 2 · LEGISLATION

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|---|---|
| **What it covers** | Employment law (minimum pay, contracts, working conditions) · consumer protection (goods must be as described and fit for purpose) · health & safety · data protection · competition law. |
| **Real example – pay law** | The National Living Wage is £12.71 per hour from April 2026. For labour-intensive businesses – cafes, shops, care providers – this is a direct rise in costs. Typical responses: improve productivity, automate some tasks, raise prices slightly, or accept lower margins. |
| **Real example – data law** | Businesses that hold customer data have legal duties to protect it. In the 2025 M&S cyber attack, personal data belonging to up to 9.4 million customers was accessed – a reminder that data protection is a legal risk as well as a technical one. |
| **Exam angle** | Legislation is not only a cost. Meeting a law well (safety, fair pay, honest labelling) can become a selling point, while breaking it brings fines and reputation damage that usually cost far more than compliance. |

## PUT IT TO WORK – WHO WINS IN A DOWNTURN?

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| **Likely winners** | Discount retailers (customers 'trade down' to cheaper alternatives), repair services (fix it rather than replace it), own-brand product lines. |
| **Likely losers** | Sellers of big-ticket postponable purchases (cars, kitchens, holidays), luxury brands, businesses whose customers buy on credit. |
| **The lesson** | Never write 'a downturn is bad for businesses'. Say **which** business, and trace the mechanism from the customer's pocket to the firm's revenue. |

# Technology + The competitive environment

External Influences on Business · detail cards 3-4

| 3 · TECHNOLOGY | |
|---|---|
| **What it covers** | E-commerce (selling online), automation of production and service, digital marketing and social media, payment systems – and the cyber risk that arrives with all of them. |
| **Opportunity side** | Technology lowers the cost of reaching customers: a small brand can sell worldwide from one warehouse, and social media marketing can outperform expensive TV campaigns at a fraction of the price. |
| **Risk side – real example** | Marks & Spencer, April 2025: a ransomware attack forced M&S to suspend online orders for 46 days, with an estimated ~£300m hit to operating profit. Contingency planning – asking 'what do we do if systems go down?' **before** it happens – is part of managing technology, not an optional extra. |
| **Exam angle** | Strong answers treat technology as a two-sided influence: the same trend that creates an opportunity for one business creates a threat for a rival that is slower to adapt. |

| 4 · THE COMPETITIVE ENVIRONMENT | |
|---|---|
| **What it covers** | The number and size of rivals, how easy the market is to enter, and whether firms compete on price or on non-price factors (quality, brand, service, range, convenience). |
| **Real example** | Aldi holds around 10.2% of UK grocery spend (Kantar, January 2026) while stocking only ~1,800 product lines – against ~30,000 in a typical big-four supermarket. The narrow range keeps Aldi's costs low, which lets it hold prices down and forces rivals to respond with their own price cuts and 'price match' schemes. |
| **Price vs non-price** | When one rival competes hard on price, others often choose **not** to fight on price at all – they compete instead on quality, loyalty schemes, brand or service, where a low-cost rival finds it harder to follow. |
| **Exam angle** | 'More competition' does not automatically mean 'lower prices'. Say **how** the business competes – matching prices, or differentiating – and what that choice does to its profit margin. |

| HOW CARDS 3 AND 4 CONNECT | |
|---|---|
| **Tech lowers barriers to entry** | E-commerce means a new rival no longer needs a chain of shops to compete – so technology change often makes the competitive environment tougher. |
| **Tech sharpens price competition** | Customers compare prices in seconds online, which makes it harder to charge more than rivals for the same thing – and makes non-price differences more valuable. |
| **Tech failure is a competitive gift** | When one retailer's website goes down, customers don't stop shopping – they buy from a rival whose site works. An outage is rarely just a technology problem. |

# Globalisation + Ethics and the environment

External Influences on Business · detail cards 5‑6

| 5 · GLOBALISATION | |
|---|---|
| **What it covers** | Selling to customers abroad, sourcing materials and products from other countries, and facing competitors from anywhere in the world – all made easier by e-commerce and cheaper transport. |
| **Real example** | Gymshark was founded in Birmingham in 2012 by a 19-year-old and now sells to around 230 countries, mostly online. Globalisation is not only for giant companies – a strong brand plus e-commerce can go global fast. |
| **Exchange rates (A-Level)** | A weaker pound makes imports dearer (bad for a retailer buying stock abroad) but makes UK exports cheaper for foreign buyers (good for a UK firm selling overseas). The same movement helps one business and hurts another. |
| **Exam angle** | Always ask: does this business **import**, **export**, or both? The answer decides whether a global trend is an opportunity or a threat for it. |

| 6 · ETHICS AND THE ENVIRONMENT | |
|---|---|
| **What it covers** | Treating workers and suppliers fairly, honest marketing, environmental impact (waste, packaging, emissions) – and the trade-off between doing the right thing and short-term profit. |
| **Real example** | Divine Chocolate is part-owned by the cocoa farmers who supply it, so farmers share the profit their beans create. Ethical structure IS the brand – it is the reason many customers choose it over cheaper bars. |
| **The trade-off** | Ethical and environmental choices often raise costs (better pay, greener materials). The payoff is loyalty, reputation and press coverage money can't easily buy – and the avoided cost of boycotts and scandal when things go wrong. |
| **Exam angle** | Avoid 'being ethical is good for business' as a bare claim. Show the mechanism: ethical choice → higher cost BUT stronger loyalty/reputation → the judgement depends on the business's customers and margins. |

| EXAM TRICK – ONE EVENT, SEVERAL INFLUENCES | |
|---|---|
| **M&S cyber attack (2025)** | Technology (systems down 46 days) + legislation (legal duties over customer data) + competitive environment (rivals with working websites pick up the sales). |
| **A National Living Wage rise** | Legislation (higher wage bill) + economic climate (millions of workers also have more to spend – some businesses gain customers from the same law that raised their costs). |
| **Why it scores** | Linking two or more influences to the same event shows analysis, not memorisation – it is one of the quickest routes into the top band. |

# Key terms, retrieval quiz + common mistakes

External Influences on Business · practice page

## KEY TERMS

| | |
|---|---|
| **Interest rate** | The cost of borrowing money, and the reward for saving it. |
| **Inflation** | A sustained rise in the general level of prices. |
| **Consumer income** | The amount of money consumers have available to spend. |
| **Exchange rate** | The price of one currency in terms of another. |
| **National Living Wage** | The legal minimum hourly pay for workers aged 21+ (£12.71 from April 2026). |
| **Consumer protection law** | Laws requiring goods to be as described, safe and fit for purpose. |
| **Automation** | Using machines or software to do tasks previously done by people. |
| **E-commerce** | Buying and selling online. |
| **Barriers to entry** | Factors that make it hard for new rivals to enter a market. |
| **Non-price competition** | Competing on quality, brand, service or range instead of price. |
| **Globalisation** | The growing integration of markets and production across countries. |
| **Business ethics** | Moral principles guiding how a business behaves beyond what law requires. |
| **Contingency plan** | A prepared plan for what to do if something goes wrong (e.g. systems go down). |
| **Pressure group** | An organisation that tries to influence business or government behaviour. |

## RETRIEVAL QUIZ – 6 QUESTIONS

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|---|---|
| 1. | Name two costs to a business of a rise in the National Living Wage, and one possible response. |
| 2. | Explain why a rise in interest rates hits a furniture retailer harder than a discount bakery chain. |
| 3. | Using M&S (2025), explain one risk that comes with relying on online sales. |
| 4. | How does Aldi's ~1,800-line range help it compete on price against rivals stocking ~30,000 lines? |
| 5. | Give one way a weaker pound helps a UK business and one way it hurts a different UK business. |
| 6. | State two non-price ways a supermarket could respond to a low-cost competitor. |

## COMMON MISTAKES TO AVOID

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|---|---|
| ✗ | **'Interest rates affect every business the same.'** They don't – impact depends on how much the firm borrows and whether its product is a postponable big-ticket purchase. |
| ✗ | **'Legislation is just a cost.'** Compliance done well becomes a selling point; breaking the law costs more (fines + reputation). |
| ✗ | **'More competitors always means lower prices.'** Many firms respond with non-price competition instead. |
| ✗ | **'Globalisation only matters to big firms.'** Gymshark went from Birmingham to ~230 countries mostly via e-commerce. |
| ✗ | **'External influence = automatic disaster.'** The event is outside the firm's control; the response is what exam marks are for. |

# Teacher page – quiz answer pointers

External Influences on Business

| QUIZ ANSWER POINTERS | | | |
|---|---|---|---|
| 1. | Higher wage bill; knock-on rises to keep pay gaps. Responses: productivity, automation, small price rises, thinner margins. | 4. | Fewer lines → bigger volume per line, simpler logistics, less waste → lower unit costs → lower shelf prices. |
| 2. | Furniture = big-ticket, postponable, often bought on credit; everyday bakery items are cheap and habitual. | 5. | Helps an exporter (products cheaper abroad); hurts an importer (stock bought abroad costs more). |
| 3. | System outage stops all online revenue at once – M&S lost its online channel for 46 days; data breach adds legal/reputation damage. | 6. | Loyalty schemes, own-brand quality tiers, better service/convenience, stronger brand marketing. |

## Want your students to face these influences for real?

The Business School is a browser-based business simulation for the classroom. In one 60-minute session, up to 5 teams (max 30 students) run their own companies: they set prices, hire staff, take out loans, file VAT and negotiate deals – while you watch every decision on a live teacher dashboard. Auto-grading and student certificates at the end. Students join with a PIN code in the browser – nothing to install.

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